

and over and made a lot of money. It was in service until only a few years ago when it became so obsolescent that it was sold off for scrap.

How did you meet Warren Buffett?

When I started managing accounts trading warrants when I was at UCI, I got a reputation around school. One of the people who heard about me was Ralph Gerard, who was dean of the graduate school. He happened to be an investor with Buffett Partners Limited, which was being closed down because Buffett felt that stocks were at crazy heights in 1968, and he didn't feel there was much more he could do. Gerard needed to find an alternative investment to place the money that he was getting back from Buffett. He introduced me to Buffet, and we all played bridge at Gerard's house a few times. I knew Buffet was a really smart person when I met him in 1968. I remember telling my wife that given his ability to analyze companies, his rate of compounding, and the scalability of the approach, I thought he would be the richest person in the U.S. someday. He was for a period a few decades later, and from time to time thereafter. I lost track of Buffett, and then one day in 1982, I learned that Berkshire Hathaway, the company whose stock he had been distributing in 1968, had been turned into his own private mutual fund. I immediately realized what that meant. So I went out and bought Berkshire Hathaway shares. They had been selling for \$12 a share in 1964, and here I was buying them at \$985 a share.

Do you have thoughts on futures trend following as a strategy?

I believe there are versions of it that have a Sharpe ratio of about 1.0 or more, but that is low enough so that there is still a significant risk of getting shaken out of the strategy.

I take it then that you believe there are trends inherent in the markets.

Yes. Ten years ago, I wouldn't have believed it. But a few years ago, I spent a fair amount of time looking at the strategy. My conclusion was that it works, but that it was risky enough so that it was hard to stay with it.

Did you ever use trend following as a strategy?